CITY OF LOS ANGELES CHARTER AMENDMENT LA

TITLE:
CITY INFRASTRUCTURE, BUDGET, FINANCE, AND CONTRACTING.

THE ISSUE:
Should the City Charter be amended to: establish a capital infrastructure plan and two-year budget cycle for the City; increase the authority of the Director of Public Works (Director) and allow for the elimination of or changes to the Board of Public Works (Board); remove restrictions prohibiting the City from engaging in business enterprises and mortgaging City-owned property; and change certain contracting rules and procedures?

THE SITUATION:
The Charter currently: establishes a one-year budget cycle; prohibits the City from mortgaging its property; restricts conducting commercial businesses; provides that the Department of Public Works is managed by a full-time Board and assisted by a Director; does not require a capital infrastructure plan; and regulates the award of contracts.

THE PROPOSAL:
This measure would:

- Establish a two-year budget cycle which can be adjusted by ordinance;
- Remove restrictions on the City's ability to engage in commercial businesses or mortgage City-owned property;
- Expand the Director's authority to administer the Department of Public Works, and allow changes to or elimination of the Board, by ordinance;
- Require the City to establish a capital infrastructure plan;
- Exempt certain critical infrastructure projects from the City's competitive bidding contracting rules; and
- Allow the City by ordinance to waive technical or administrative errors, and allow bidders to correct other errors or omissions, on ethics forms before contract bids are evaluated.

A YES VOTE MEANS:
You want the Charter to be amended to make the changes described above regarding City infrastructure, budget, finance, and contracting.

A NO VOTE MEANS:
You do not want the Charter to be amended to make the changes described above regarding City infrastructure, budget, finance, and contracting.

THE FULL TEXT OF THIS MEASURE BEGINS ON PAGE 23.

LA CITY INFRASTRUCTURE, BUDGET, FINANCE, AND CONTRACTING. CHARTER AMENDMENT LA.

Shall the City Charter be amended to: establish a capital infrastructure plan and two-year budget cycle for the City; increase the authority of the Director of Public Works and allow for the elimination of or changes to the Board of Public Works; remove restrictions prohibiting the City from engaging in business enterprises and mortgaging City-owned property; and change certain contracting rules and procedures?

IMPARTIAL SUMMARY
BY SHARON M. TSO, CHIEF LEGISLATIVE ANALYST

The Los Angeles City Charter (Charter) includes rules for how the City manages its budget, contracting, City-owned property, and the Department of Public Works. This measure would amend the Charter to make changes to these rules, as follows:

- Two-Year Budget: Currently, the City is required to adopt a budget each year. The measure would change the City's budget cycle to a two-year cycle unless another budget cycle is adopted by ordinance, and modify the date by which the Mayor submits a Proposed Budget. This measure would require the Mayor to submit a proposed two-year budget to the City Council (Council) by April 1. The Council would have until June 1 to approve or modify the proposed two-year budget. Council changes would be subject to Mayoral veto and Council override as specified in the Charter. For each fiscal year of the two-year cycle, the Council will approve the amount appropriated in the budget for the upcoming fiscal year, by resolution, on or before June 1, subject to Mayoral veto and Council override provisions.
- Capital Infrastructure Plan (CIP): Currently, the City is not required to have a capital plan for City infrastructure projects. The measure would require the City to establish a CIP by ordinance. The ordinance would include the scope, timeframe, funds, and reporting requirements for the CIP. Projects may include constructing or improving City roads, parks, bridges, and buildings.
- Competitive Bidding: Currently, the Charter requires the City to comply with competitive contract bidding rules, such as awarding contracts to qualified businesses for the lowest cost. The measure adds an exception to these rules for software services or maintenance contracts obtained from the software manufacturer. The measure also allows the City, by ordinance, to create an exception to the rules for certain critical infrastructure contracts that are vital to the City's security, public health, or safety.
- Department of Public Works (Department) Governance: Currently, the Charter establishes a full-time Board of Public Works (Board) that is assisted by several bureau heads and the Director of Public Works (Director) to oversee the Department. This measure would increase the Director's powers and duties to:

directly manage public works project construction, including the lease or purchase of property; exercise the power of eminent domain, subject to Council approval; oversee contract administration; grant street permits; and recommend operating budgets for the Department. Conversely, some of the Board's authority would be transferred to the Director, but the Board would retain some of its duties, such as: approving the award of contracts; conducting hearings as authorized by ordinance; approving, in consultation with the Director, specifications for public works projects; and making recommendations about public works plans to the Director, Mayor and Council. The measure also authorizes the Council, by ordinance, to make changes to or eliminate the Board. Additionally, the measure eliminates the chief administrative officer designation for the bureau heads, consistent with the proposed powers and duties of the Director.

- Business Operations: Currently, the Charter prohibits the City from mortgaging City-owned property and prevents the City from operating purely commercial or industrial businesses. The measure would remove these restrictions to allow the City to utilize City-owned assets and engage in commercial or industrial businesses.
- Contracting Forms: Currently, when outside companies bid on City contracts, they are required to submit specific forms. This measure would allow the City, by ordinance, to waive or allow correction of minor technical or administrative errors before evaluating a contract proposal. Substantive errors in ethics forms, however, cannot be waived and must be fully corrected.

This measure will become effective if approved by a majority of voters.

FINANCIAL IMPACT STATEMENT
BY MATTHEW W. SZABO, CITY ADMINISTRATIVE OFFICER

This measure establishes a capital infrastructure plan, shifts the City to a two-year budget cycle, expands the authority of the Director of Public Works, and allows the City to engage in business enterprises, mortgage City property, and modify contracting procedures. **Transitioning to the two-year budget cycle and establishing a capital infrastructure plan will require an estimated $4 million to $6 million in one-time costs to upgrade budget and asset management systems, train staff, and consult with subject matter experts.** Funding will come from the General Fund, subject to approval by the Mayor and City Council through the budget process. Ongoing expenses for these two elements of the measure, such as project management, will be absorbed by reorganizing existing resources. The financial and revenue impacts of the remaining charter amendments—including contracting changes, property mortgages, and business enterprises—cannot be quantified at this time.

ARGUMENT IN FAVOR OF CHARTER AMENDMENT LA

Vote YES on Measure LA to require City Hall to deliver better basic services, fix deteriorating infrastructure faster, and make smarter use of taxpayer dollars.

Los Angeles cannot tackle billions of dollars in needed infrastructure repairs or get its finances on stronger footing without a plan for what needs to get done, what it will cost, and who is responsible for delivering it.

Angelenos see what happens when the City fails to plan ahead. It takes the City years to repave streets, fix sidewalks and streetlights, and address ongoing maintenance, often waiting until problems are harder and more expensive to fix.

Measure LA fixes that. It requires Los Angeles to plan ahead. It establishes long-term infrastructure planning so the City can prioritize repairs, address maintenance before problems become more expensive, and move projects forward with clear responsibility for getting the work done.

It also requires two-year budgeting so City leaders consider tomorrow's costs when making decisions today. And it removes outdated Charter restrictions that make it harder for Los Angeles to operate efficiently and make taxpayer dollars go further.

Measure LA will not fix every pothole overnight. But better streets, sidewalks, infrastructure, and City services start with better planning, clearer accountability, and smarter budgeting.

We have spent years digging into City budgets, auditing programs, overseeing departments, and fighting for better infrastructure. We have seen firsthand what gets in the way. We believe these reforms will help Los Angeles deliver better results for the people who live here.

Vote YES on Measure LA.

PERSONS SIGNING ARGUMENT IN FAVOR OF CHARTER AMENDMENT LA

KENNETH MEJIA
Controller
City of Los Angeles

BOB BLUMENFIELD
LA City Councilmember
City of Los Angeles

RON GALPERIN
Former City Controller
City of Los Angeles

MICHAEL SCHNEIDER
CEO
Streets For All

KATY YAROSLAVSKY
LA City Councilmember
City of Los Angeles

JESSICA MEANEY
Executive Director
Investing in Place

DAVID LEVITUS
CEO
LA Forward

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ARGUMENT AGAINST CHARTER AMENDMENT LA

At a time when Los Angeles has experienced repeated corruption scandals and public trust in City Hall has been damaged, we should be strengthening transparency and accountability not eliminating independent oversight.

If approved, Charter Amendment LA would give the City Council the authority to eliminate the Board of Public Works and consolidate its powers under a single individual. The Board was established to provide independent review of City contracting, with decisions made in public meetings subject to California's open meeting laws. Removing this important check and balance would reduce public scrutiny and weaken accountability over billions of tax payer dollars for public projects.

Supporters of this Charter Amendment point to reforms like a Capital Improvement Plan, but that change can be implemented without amending the Charter.

Los Angeles needs more transparency, more oversight, and stronger protections against abuse, not fewer safeguards.

Vote NO on Charter Amendment LA.

PERSONS SIGNING ARGUMENT AGAINST CHARTER AMENDMENT LA

MONICA RODRIGUEZ
Los Angeles City Councilwoman, District 7
City of Los Angeles

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REBUTTAL TO THE ARGUMENT AGAINST CHARTER AMENDMENT LA

The opposition gets one thing right: Los Angeles has relied on the same fragmented system to oversee its infrastructure for generations. Responsibility is spread across multiple officials, commissions, agencies, and bureaus. Angelenos see the results in crumbling streets, buckled sidewalks, and streetlights that stay dark.

Measure LA changes that. It requires one Citywide long-term infrastructure program and two-year budgeting so Los Angeles sets clear priorities, identifies the projects that need to get done, and plans how to fund them over time.

It also puts one Director in charge of coordinating Public Works and delivering that plan. The Director reports to the Mayor and City Council and remains subject to oversight by the independently elected City Controller. Angelenos will know who is responsible for getting streets repaved, sidewalks repaired, streetlights fixed, and projects delivered.

Accountability means a clear plan, clear responsibility, and clear oversight.

PERSONS SIGNING REBUTTAL TO THE ARGUMENT AGAINST CHARTER AMENDMENT LA

KENNETH MEJIA
Controller
City of Los Angeles

BOB BLUMENFIELD
LA City Councilmember, President Pro-Tempore
City of Los Angeles

RON GALPERIN
Former City Controller

MICHAEL SCHNEIDER
CEO
Streets For All

KATY YAROSLAVSKY
LA City Councilmember
City of Los Angeles

JESSICA MEANEY
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New provisions or language added to the Charter or to existing Charter sections are shown in underline type; words deleted from the Charter or from existing Charter sections are shown in ~~strikeout~~ type.

CHARTER AMENDMENT LA
(CITY INFRASTRUCTURE, BUDGET, FINANCE, AND CONTRACTING)

TEXT OF THE PROPOSED BALLOT MEASURE

Section 1. Subsection (a) of Section 104 of the Charter of the City of Los Angeles is repealed as follows:

(a) [Repealed.] ~~**Mortgaging of Property.** The City shall have no power to mortgage its property for any purpose, but may buy property subject to mortgage.~~

Sec. 2. Subsection (g) of Section 104 of the Charter of the City of Los Angeles is repealed as follows:

(g) [Repealed.] ~~**Business Enterprises.** The City shall not engage in any purely commercial or industrial enterprise, except upon a majority vote of the voters of the City voting on the question, unless the enterprise was engaged in by the City at the time the Charter becomes effective, or unless engaging in the enterprise is elsewhere specifically authorized in the Charter. Nothing in this subsection shall prohibit the City from engaging directly in retail concessions of food and merchandise, when those concessions are consistent with and support City operations and purposes.~~

Sec. 3. Subsection (g) of Section 231 of the Charter of the City of Los Angeles, regarding the City's budget and the Mayor's powers and duties, is amended to read as follows:

(g) prepare and submit the Mayor's proposed ~~annual~~ budget to the Council for consideration in accordance with Article III of the Charter;

Sec. 4. Subsection (b) of Section 291 of the Charter of the City of Los Angeles, regarding the City's budget and the Chief Administrative Officer's powers and duties, is amended to read as follows:

(b) assist in the preparation of the ~~annual~~ budget in accordance with policies prescribed by the Mayor;

Sec. 5. Section 310 of the Charter of the City of Los Angeles, regarding the City's budget, is amended to read as follows:

Sec. 310. Budget Cycle; Fiscal Year.

(a) The City shall operate on a biennial budget cycle comprised of two consecutive fiscal years, unless another budget cycle is established by ordinance.

(b) ~~The~~ Each fiscal year of the City, notwithstanding when that fiscal year is in the budget cycle, shall begin on July 1 of ~~each~~ the year and shall end on June 30 of the following year.

(c) For each fiscal year of a multi-year budget cycle, the Council, by resolution, shall set the amount appropriated in the budget for that fiscal year on or before June 1 of the preceding

fiscal year. The resolution shall be subject to veto by the Mayor and override of the Mayor's veto by a two-thirds vote of the Council.

Sec. 6. Section 311 of the Charter of the City of Los Angeles, regarding the City's budget, is amended to read as follows:

Sec. 311. Budget Estimates to Mayor; Statement of Budget Priorities.

(a) At the time the Mayor prescribes, but not later than the January 1 preceding each budget cycle ~~of each year~~, each board or officer at the head of any department or office, or other City governmental activity, other than those departments having control of their own funds, shall submit to the Mayor, with copies to the Council and the City Administrative Officer, on forms and in the manner prescribed by the Mayor, a detailed estimate of the money required for the next budget cycle ~~fiscal year~~ for the proper operation of their departments and offices. These estimates shall contain uniform budget classifications and shall clearly set forth the functions performed and the items and services required for such performance. Summaries, schedules and supporting data shall be attached to the estimates. Any department head or officer requesting an increase over the prior budget cycle's ~~year's~~ appropriation shall indicate which classifications need the increase and rank the order of immediate need for each classification. After consultation with an officer or head of a department, the Mayor may refer the estimate back with instructions to prepare a revised estimate on the basis of a maximum sum for the department, office or activity, that maximum sum to be fixed by the Mayor, or with further qualification as the Mayor shall determine. The officer or head of department shall present the revised estimate to the Mayor, with a duplicate to the Council and to the City Administrative Officer, at a date fixed by the Mayor.

(b) On or before the February 1 preceding each budget cycle, the Mayor shall publish his or her budget priorities for the next budget cycle ~~fiscal year~~ in order to facilitate public comment.

(c) On or before the March 1 preceding each budget cycle,~~of each year~~ the Controller shall submit to the Mayor, with a duplicate to the Council and ~~to~~ the City Administrative Officer, a detailed statement of the money that the Controller estimates will be required for the interest and sinking funds and for all outstanding bonded indebtedness and other lawful obligations of the City or of special districts and an estimate of the revenue to be derived from fines, licenses and other sources.

Sec. 7. Section 312 of the Charter of the City of Los Angeles, regarding the City's budget, is amended to read as follows:

Sec. 312. Mayor's Proposed Budget.

On or before the April 1 ~~April 20~~ preceding each budget cycle~~of each year~~, the Mayor shall submit to the Council a budget for the next ensuing budget cycle ~~fiscal year~~ setting forth in summary and in detail:

(a) estimates of the expenditures and appropriations necessary for the support of the required work programs of the City government for the ensuing budget cycle~~fiscal year~~, including interest and sinking funds or payments of principal on the bonded indebtedness of the City and of special districts;

(b) detailed estimates of the receipts of the City during the ensuing budget cycle~~fiscal year~~, under laws existing at the time the budget is transmitted, and also under the revenue

proposals, if any, contained in the budget;

(c) the expenditures and receipts of the City government during the last completed budget cycle~~fiscal year~~;

(d) estimates of the expenditures and receipts of the City government during the budget cycle~~fiscal year~~ in progress;

(e) the amount of annual, permanent or other appropriations, including balances of appropriations for prior budget cycles~~fiscal years~~, available for expenditure during the budget cycle~~fiscal year~~ in progress~~, as of June 30 of such year~~;

(f) balanced statements of:

(1) the condition of the Treasury at the end of the last completed budget cycle~~fiscal year~~;

(2) the estimated condition of the Treasury at the end of the budget cycle~~fiscal year~~ in progress; and

(3) the estimated condition of the Treasury at the end of the ensuing budget cycle~~fiscal year~~ in case the financial proposals contained in the budget are adopted.

(g) all essential facts regarding the bonds, notes and other lawful obligations of the City;

(h) other financial statements and data necessary or desirable in order to make known in all practical detail the financial condition of the City government;

(i) an Unappropriated Balance, which shall be available for appropriations later in the ensuing budget cycle~~fiscal year~~ to meet contingencies as they arise; and

(j) a statement of resources of the Reserve Fund which shall be carried over to the next ensuing budget cycle~~fiscal year~~ to meet the cash requirements of the City for the portion of the next ensuing budget cycle~~fiscal year~~ prior to the receipt of taxes, or for appropriations to the Unappropriated Balance as provided in the Charter.

Sec. 8. Section 313 of the Charter of the City of Los Angeles, regarding the City's budget, is amended to read as follows:

Sec. 313. Council Consideration of Budget.

After receiving the budget submitted by the Mayor, and prior to taking action on the budget, the Council shall hold a noticed public hearing. On or before the June 1 preceding each budget cycle, the Council shall:

(a) approve the budget as submitted by the Mayor; or

(b) modify the budget by disapproving in whole or in part any items, or by increasing or decreasing any item, or by adding new items, and return the budget as modified by the Council to the Mayor. Any action taken by the Council under this section shall be taken by a majority vote of its members.

Upon failure of the Council to return the budget to the Mayor as provided in this section, the budget as submitted by the Mayor to the Council shall be signed by the City Clerk and

thereupon become the general City budget for the ensuing budget cycle~~fiscal year~~.

Sec. 9. Section 315 of the Charter of the City of Los Angeles, regarding the City's budget, is amended to read as follows:

Sec. 315. Council Consideration of Mayor's Veto Message; Final Adopted Budget.

Upon receipt by the Council of the budget veto message from the Mayor, the Council shall have five days, excluding Saturdays, Sundays and legal holidays, within which to overcome the action of the Mayor relative to any item or items of the budget. Any item or items of the budget which shall have been vetoed, or otherwise changed by the Mayor, and which shall not be, by a two-thirds vote of all of the members of the Council, either readopted notwithstanding the objections of the Mayor or changed to an amount between that as originally adopted by the Council and that as changed by the Mayor, shall remain as modified by the Mayor.

Where the Mayor has changed any description or limitation applicable to an item, the Council, in its action pursuant to this section, shall have no power to alter the description or limitation other than to restore it to the condition in which it was originally adopted by the Council.

Upon the expiration of the Council's five-day period, or sooner if the Council by majority vote so directs, the budget as returned by the Mayor, and to the extent modified thereafter by the Council, shall become the general City budget for the ensuing budget cycle~~fiscal year~~ and shall not be held for reconsideration but shall be promptly transmitted to the City Clerk, signed by the City Clerk and filed in the office of the Controller.

Sec. 10. Section 320 of the Charter of the City of Los Angeles, regarding the City's budget, is amended to read as follows:

Sec. 320. Expenditure Programs.

Each office and department provided for in the general City budget, and the Departments of Library and Recreation and Parks to the extent that they are assisted by appropriations from the General Fund, shall have authority to expend, in the manner provided by other provisions of the Charter, ordinance, and other applicable law, the funds appropriated for its support during the ensuing budget cycle~~fiscal year~~, but only in accordance with a program of planned expenditures which shall be prepared, filed and modified from time to time, as provided by law. No department, bureau, or office of the City government shall make expenditures or incur liabilities in excess of the amount appropriated therefor.

Sec. 11. A new Section 323 is added to the Charter of the City of Los Angeles to read as follows:

Sec. 323. Establishment of the Capital Infrastructure Plan.

A Capital Infrastructure Plan shall be established by ordinance, consistent with the requirements of the Charter. The ordinance shall establish the governance for the plan as well as the scope, timeframe, capital planning process, criteria for a project's inclusion in the plan, reporting requirements, and budgeting process for the plan.

Sec. 12. Section 341 of the Charter of the City of Los Angeles, regarding the City's budget and transfers, is amended to read as follows:

Sec. 341. Transfers from Reserve Fund; Appropriations from Unappropriated Balance.

Transfers may be made from the Reserve Fund after adoption of the ~~annual~~ budget to meet in whole or in part any appropriated item of the ~~annual~~ budget, or may be made to the General Fund or the Unappropriated Balance. These transfers and any appropriations from the Unappropriated Balance may be made after adoption of the budget, as follows:

(a) upon recommendation of the Mayor, approved by a majority vote of the Council;

(b) upon a majority vote of the Council, subject to the approval of the Mayor, or passage by the Council over the Mayor's veto by a two-thirds vote.

If any order making a transfer or appropriation is not returned to the City Clerk by the Mayor for presentation to the Council, with objections in writing, within ten days after it has been presented, it shall become effective and be as valid as if the Mayor had approved and signed it.

Sec. 13. Subsections (a) and (b) of Section 343 of the Charter of the City of Los Angeles, regarding the City's budget and transfers, is amended to read as follows:

(a) **Departments Not Controlling Their Own Funds**. The head of any department not having control of its own funds may make application in writing to the Mayor for a transfer of amounts from one appropriated item to another in the budget allowance of the department or to a new item created after adoption of the ~~annual~~ budget. On the approval of the Mayor, the Controller shall make the transfer, but no transfer of an amount exceeding either thirty-five thousand dollars ($35,000) or other amount established by ordinance shall be made unless approved by a majority vote of the Council. Notwithstanding the above, for transfers within the Council's budget, the President of the Council shall be authorized to approve transfers.

(b) **Departments Controlling Their Own Funds**. The general manager of any department having control of its own funds may make application in writing to the board having control and management over the department for a transfer of amounts from one budget item to another in the ~~annual~~ budget of the department, or to a new item created after adoption of the ~~annual~~ budget. On the approval of the board, the Controller shall make the transfer, but no transfer of an amount exceeding thirty-five thousand dollars ($35,000) or other amount established by ordinance shall be made unless approved in writing by the Mayor.

Sec. 14. Subsection (e) of Section 371 of the Charter of the City of Los Angeles, regarding the competitive bidding of contracts, is amended to read as follows:

(e) Exceptions. The restrictions of this section shall not apply to:

(1) Contracts involving consideration reasonably valued at less than an amount specified by ordinance.

(2) Contracts, as determined by the contracting authority, for the performance of professional, scientific, expert, technical, or other special services of a temporary and occasional character for which the contracting authority finds that competitive bidding is not practicable or advantageous.

(3) Contracts for the furnishing of articles covered by letters patent granted by the government of the United States.

(4) Contracts for leasing as lessee or purchasing real property when approved by majority vote of the Council.

(5) Contracts for repairs, alterations, work or improvements declared in writing by the contracting officer or board, or its designee, to be of urgent necessity for the preservation of life, health or property. The declaration shall give the reasons for the urgent necessity and must be approved by the Council or its designee. Approval may be conditioned upon compliance with one or more of the requirements of this section.

(6) Contracts entered into during time of war or national, state or local emergency declared in accordance with federal, state or local law, where the Council, by resolution adopted by two-thirds vote and approved by the Mayor, suspends any or all of the restrictions of this section or their applicability to specific boards, officers or employees.

(7) Contracts for equipment repairs or parts, or for software service or maintenance, obtained from the manufacturer of the equipment or software or its exclusive agent.

(8) Contracts for cooperative arrangement with other governmental agencies for the utilization of the purchasing contracts and professional, scientific, expert or technical services contracts of those agencies and any implementing agreements, even though the contracts and implementing agreements were not entered into through a competitive bid process.

(9) New, long-term concession agreements with the existing merchants as of the Adoption Date of the Charter on Olvera Street negotiated by the City department responsible for administering the El Pueblo de Los Angeles Historical Monument.

(10) Subject to the requirements of Section 1022, contracts (including without limitation those, as determined by the contracting authority, for the performance of professional, scientific, expert, technical or other special services), where the contracting authority finds that the use of competitive bidding would be undesirable, impractical or impossible or where the common law otherwise excuses compliance with competitive bidding requirements.

(11) Contracts with qualified vendors, the qualification standards for which shall be specified by ordinance, for the design, development, procurement, or servicing of critical infrastructure, which shall include assets, systems, and networks, whether physical or virtual, so vital to the City that their incapacitation or destruction would have a debilitating effect on security, economic security, public health or safety, or any combination thereof.

Sec. 15. Subparagraph (H) of Subdivision (12) of Subsection (c) of Section 470 of the Charter of the City of Los Angeles, regarding campaign contribution limitations and disclosures, is amended to read as follows:

(H) Every contract solicitation regarding a contract subject to this provision shall include notice of the prohibitions of this subdivision. At the time of submitting a bid or proposal for a contract subject to this section, the bidder or proposer must complete a form identifying the names of its principals, subcontractors of at least $100,000, the principals of those subcontractors, and certify that the bidder or proposer will comply with and notify its principals and subcontractors of the prohibitions in this subdivision; and provide any other information determined necessary. At the discretion of the contracting authority, any technical or administrative defect in completion of any forms subject to this provision may be waived as minor or inconsequential, or may be subject to cure, as further provided by ordinance. An error or omission of substantive information required by the Ethics Commission is not waivable but may be subject to cure prior

to the evaluation or scoring of the bid or proposal, as further provided by ordinance.

Sec. 16. Section 507 of the Charter of the City of Los Angeles is amended to read as follows:

Sec. 507. Chief Administrative Officers.

Other than the elected offices, each department and office established by the Charter or created by ordinance~~, and each of the Public Works bureaus of Contract Administration, Engineering, Sanitation, Street Lighting, and Street Services~~ shall have a chief administrative officer. In departments under the control and management of a board of commissioners, the chief administrative officer administers the affairs of the department. In departments and offices not under the control and management of a board of commissioners, the chief administrative officer has full charge and control of all work of the department or office. Elsewhere in the Charter and in the Los Angeles Administrative Code, chief administrative officers may have different position titles including general manager and director.

Sec. 17. Subsection (e) of Section 509 of the Charter of the City of Los Angeles, regarding the City's budget and powers of chief administrative officers of departments, is amended to read as follows:

(e) recommend to the board of the department prior to the beginning of each budget cycle ~~fiscal year an annual~~ a departmental budget covering the anticipated revenues and expenditures of the department or bureau, conforming so far as practicable to the forms and dates provided in Article III in relation to the general City budget;

Sec. 18. Subsection (g) of Section 510 of the Charter of the City of Los Angeles, regarding the City's budget and powers of chief administrative officers of departments, is amended to read as follows:

(g) prior to the beginning of each budget cycle ~~fiscal year~~ submit ~~an annual~~ a budget covering the anticipated revenues and expenditures of the department, including, pursuant to the instructions of the board of commissioners, if any, the money required for the proper conduct of the board's affairs;

Sec. 19. Subsection (b) of Section 511 of the Charter of the City of Los Angeles, regarding the City's budget and responsibilities of boards of departments, is amended to read as follows:

(b) prior to the beginning of each budget cycle~~fiscal year~~, adopt ~~an annual~~ a departmental budget and make ~~an annual~~ a department budget appropriation, covering the anticipated revenues and expenditures of the department. The departmental budget shall conform as far as practicable, to the forms and times provided in Article III for the general City budget. Each departmental budget shall contain a sum to be known as the Unappropriated Balance, which sum shall be available for appropriation by the board later in the ensuing budget cycle~~fiscal year~~ to meet contingencies as they may arise. A copy of the budget when adopted, and of every resolution subsequently adopted making appropriation from the Unappropriated Balance shall promptly be filed with the Mayor and Controller. No expenditure shall be made or financial obligations incurred by the department except as authorized by the ~~annual~~ departmental budget appropriation, or appropriations made after the adoption of the ~~annual~~ budget, or as otherwise provided in the Charter.

Sec. 20. Subsection (d) of Section 572 of the Charter of the City of Los Angeles, regarding

the City's budget and powers and duties of the executive director of the Board of Police Commissioners, is amended to read as follows:

(d) recommend to the Board of Police Commissioners prior to the beginning of each budget cycle ~~fiscal year~~ a budget covering the anticipated revenues and expenditures of the board and its staff, conforming so far as practicable to the forms and dates provided in the Charter in relation to the general City budget;

Sec. 21. Subsection (e) of Section 574 of the Charter of the City of Los Angeles, regarding the City's budget and powers and duties of the Chief of Police, is amended to read as follows:

(e) recommend to the Board of Police Commissioners prior to the beginning of each budget cycle ~~fiscal year an annual~~ a departmental budget covering the anticipated revenues and expenditures of the department, except the anticipated revenues and expenditures under the control of the Executive Director, and conforming so far as practicable to the forms and dates provided in the Charter for the general City budget;

Sec. 22. Section 581 of the Charter of the City of Los Angeles, regarding the Board of Public Works, is amended to read as follows:

Sec. 581. Board of Public Works.

Members of the Board of Public Works shall devote their entire time to the duties of office unless otherwise provided by ordinance. Notwithstanding Section 514, the City Council may, by ordinance adopted by a two-thirds vote of the Council, subject to the veto of the Mayor or by a three-fourths vote of the Council over the veto of the Mayor, make any changes to the composition or existence of the Board of Public Works as well as add to, or remove, any of its powers and duties. Subject to the Charter and applicable ordinances and law, the board shall have the power and duty to:

(a) set policy for and manage the Department of Public Works;

(b) establish procedures for the examination, consideration and preparation of requests for proposals or bids, and for the advertisement and establishment of the amount of the required bond, all as provided by Sections 370 through 378 and related ordinances, for any work or improvements;

(c) approve the award of contracts;

(d) fix the time when work shall be commenced and completed in accordance with applicable law;

~~(e) exercise the power of eminent domain, subject to Council authorization, and lease or purchase property on behalf of the City for the construction and maintenance of public works projects;~~

(e)~~(f)~~ exercise the powers and duties imposed by law or delegated by the Council relating to the award of contracts for work specified in Section 580 and the determination of benefits, damages and costs incident to a proposed change or improvement of any public place, right-of-way or property belonging to the City and the making and levying of assessments upon property to cover the damages and costs;

(f)~~(g)~~ conduct hearings and hear appeals as authorized by ordinance relating to the work

of the department, including hearings pertaining to special assessments;

(g)~~(h)~~ on its own initiative or upon complaint, investigate departmental operations and acts of employees and report findings to the Director of Public Works, the Mayor and the Council;

(h)~~(i)~~ approve, in consultation with the Director of Public Works, specifications for public works construction projects;

~~(j) accept completed public works projects, provided that the board may delegate to the Director of Public Works the authority to accept projects involving less than one hundred thousand dollars ($100,000) or such other amount prescribed by the board;~~

(i)~~(k)~~ make recommendations about short- and long-range public works plans and programs to the Director of Public Works, Mayor, and Council; and

(j)~~(l)~~ annually present to the Council at its meeting in the second week of July, a report for the previous fiscal year stating the amount of proceeds from the sale of bonds, the purposes for which those proceeds have been expended, the amount expended, the balance in each bond fund and other information and suggestions as it deems appropriate.

The Board of Public Works shall have power to proceed with all such construction and maintenance, and to carry out any of the purposes herein mentioned from any funds under its control and available for such purposes; provided, that nothing in this section shall be construed to abridge the power of the Council to order any work or improvements and to provide the manner of paying therefor, such work or improvement, however, to be done under the superintendence and control of the Board of Public Works.

Sec. 23. Section 582 of the Charter of the City of Los Angeles, regarding the Director of Public Works, is amended to read as follows:

Sec. 582. Director of Public Works

There shall be a chief administrative officer of the Department of Public Works, known as the Director of Public Works, who shall be appointed and removed as provided in Section 508. ~~Instead of~~ In addition to those powers and duties set forth in Section 509, the director shall have the power and duty to:

(a) enforce all orders, rules and regulations adopted by the board;

(b) administer contracts;

(c) supervise and manage construction and maintenance work authorized by the board;

(d) approve those public works contracts within the authority delegated to the Director by the board or by ordinance;

(e) grant street encroachment and other permits necessary for the temporary use of City rights-of-way;

(f) exercise the power of eminent domain, subject to Council authorization, and lease or purchase property on behalf of the City for the construction and maintenance of public works projects~~make recommendations to the board about short- and long-range public works plans and programs~~;

(g) make recommendations to the board, Mayor, and Council about short- and long-range public works plans and programs incorporating feedback from the board where relevant;

(h)~~(g)~~ oversee the functions of departmental accounting and management-employee services including any bureaus in the department charged with performing those functions, and ~~issue instructions to,~~ appoint, discharge, suspend and transfer the employees that perform those functions, all subject to the civil service provisions of the Charter;

(i) support the function of citywide capital infrastructure planning including, but not limited to, the public right-of-way, ground transportation, city-owned buildings, and public spaces;

(j) oversee technology systems procurement and implementation for the department and any bureaus, except as otherwise provided by ordinance;

(k) accept completed public works projects and recommend operating and maintenance funding at the time of project completion to ensure proper state of repair;

(l)~~(h)~~ recommend to the Mayor and Council ~~board~~ prior to the beginning of each budget cycle ~~fiscal year an annual~~ a departmental budget covering the anticipated revenues and expenditures of the department, conforming so far as practicable to the forms and dates provided in Article III in relation to the general City budget; ~~and~~

(m)~~(i)~~ file with the board and the Mayor a written report on the work of the department on a regular basis as requested by the Mayor or board.~~;~~ and

(n) oversee construction and maintenance, and to carry out any of the purposes herein mentioned from any funds under the Director's control and available for such purposes; provided, that nothing in this section shall be construed to abridge the power of the Council to order any work or improvements and to provide the manner of paying therefor, such work or improvement, however, to be done under the superintendence and control of the Director of Public Works subject to the instructions of the board.

Sec. 24. Section 610 of the Charter of the City of Los Angeles, regarding the City's budget and Proprietary Departments, is amended to read as follows:

Sec. 610. Debt Accountability and Capital Improvement Plan.

~~Every two years, in~~In conjunction with the submission of its budget~~submittal of its annual budget~~, each Proprietary Department shall submit a debt accountability and major capital improvement plan to the Mayor, Council, and Controller.

Sec. 25. Subsection (c) of Section 683 of the Charter of the City of Los Angeles, regarding the City's budget and the executive director of the Office of Public Accountability, is amended to read as follows:

(c) The Executive Director shall (1) report directly to, but shall not be instructed by, the board; (2) have full charge and control of all work of the OPA; (3) be responsible for the proper administration of its affairs; (4) appoint, discharge, suspend, or transfer all of its employees, subject to the civil service provisions of the Charter; (5) issue instructions to OPA employees in the line of their duties, subject to the civil service provisions of the Charter; (6) prior to the beginning of each budget cycle ~~fiscal year~~ and in accordance with a schedule prescribed by ordinance, submit to the City Administrative Officer a proposed ~~annual~~ budget covering the anticipated expenditures of the OPA; (7) expend the funds of the OPA (including, without

limitation, awarding contracts) in accordance with the provisions of the budget appropriations or of appropriations made after adoption of the budget; and (8) perform such other duties as may be prescribed by ordinance.

Sec. 26. Section 684 of the Charter of the City of Los Angeles, regarding the City's budget and Board of Water and Power Commissioners, is amended to read as follows:

Sec. 684. Submission of Budget to the City Council for Informational Purposes.

The Board of Water and Power Commissioners shall submit a preliminary budget for the upcoming budget cycle ~~fiscal year~~ to the City Council for informational purposes by no later than the March 31 preceding each budget cycle ~~of each year~~ and shall by May 31 of that year update the preliminary budget based on additional information received after March 31, including without limitation, additional information about revenue and expense projections. ~~This Section shall be operative on July 1, 2011.~~

Sec. 27. Subsection (a) of Section 1001 of the Charter of the City of Los Angeles is amended to read as follows:

Sec. 1001. Exemptions.

Each of the following positions shall be exempt from this Article:

(a) Exempt Positions.

(1) All officers elected by the people.

(2) All members of the boards of commissioners.

(3) All chief administrative officers of the City's departments and offices and the Directors of any ~~the~~ Public Works Department~~'~~ Bureaus ~~of Contract Administration, Engineering, Sanitation, Street Lighting and Street Services~~.

(4) Two positions in the class of Assistant General Manager or Deputy Director in each City office or department, and two positions in the class of Assistant Director in each of any ~~the~~ Public Works Department Bureau~~s of Contract Administration, Engineering, Sanitation, Street Lighting and Street Services~~, and two positions in the class of Deputy Controller in the Office of Controller.

(5) All Deputy Chiefs of Police.

(6) All Deputy Chiefs of Fire.

(7) Positions in the Office of the Mayor.

(8) Positions established by the Council for the purpose of assisting the members of the Council in the performance of their duties, except for clerical personnel.

(9) All positions in the office of the City Attorney.

(10) The Chief Financial Officer of the Department of Water and Power.

(11) The Executive Director of the Board of Police Commissioners.

(12) The Inspector General of the Police Department.

(13) The Executive Director and all personnel of the City Ethics Commission.

(14) All Assistant Directors in the Office of the City Administrative Officer.

(15) The Traffic Manager and the Port Warden of the Harbor Department.

(16) Crossing Guards.

(17) All physicians and psychologists subject to Section 1040.

(18) All officers of election.

(19) Persons specially employed by the City Clerk, as authorized by the provisions of Section 405 of the Charter, to assist in the conduct of any election.

(20) Positions elsewhere specifically exempted by the Charter.

Sec. 28. Subsection (a) of Section 1160 of the Charter of the City of Los Angeles, regarding the City's budget and Los Angeles City Employees Retirement System, is amended to read as follows:

(a) **Transmittal of Budget**. The board shall ~~annually~~ prepare and transmit to the Mayor and Controller a budget for the upcoming budget cycle setting forth the estimated cost of maintaining the Retirement Fund. The budget shall include separate items as follows:

(1) *City Contributions.* A sum equal to a percentage of the salaries of all members of the retirement system, which percentage shall be the same as that shown in the last actuarial report rendered, as herein before provided to be the percentage required for members of departments with no past service.

(2) *Liquidation of Unfunded Liabilities.* A sum sufficient to liquidate, over a period of up to 30 years, any accrued unfunded liabilities assumed by the System.

(3) *Administrative Expenses.* At the discretion of the City Council, the administrative expenses of the System.

Sec. 29. Subsection (a) of Section 1210 of the Charter of the City of Los Angeles, regarding the City's budget and Los Angeles Fire and Police Pension Plan, is amended to read as follows:

(a) **Adoption of ~~Annual~~ Budget**. The Board of Fire and Police Pension Commissioners shall adopt a budget each budget cycle ~~year~~ setting forth the administration expense for each Tier of the Fire and Police Pension Plan. The budget shall be adopted at a meeting open to the public. At the discretion of the Council, administrative expense, which includes investment management expense, may be paid from the assets of the Plan.

Sec. 30. The first paragraph of Subsection (b) of Section 1210 of the Charter of the City of Los Angeles, regarding the City's budget and Los Angeles Fire and Police Pension Plan, is amended to read as follows:

(b) **Separate Items of Budget**. The Board shall ~~annually~~ prepare and transmit to the Mayor, Council and Controller a budget for the upcoming budget cycle setting forth the estimated cost of maintaining the Fire and Police Pension Plan. The budget shall include each

of the following separate items, whether such item is a positive number or a negative number:

Sec. 31. Severability. If any section, subsection, clause, sentence, phrase, or application of this Charter amendment or any portion thereof is held unconstitutional or invalid by any court or tribunal of competent jurisdiction, the remaining sections, subsections, clauses, sentences, phrases, portions, or applications of this Charter amendment shall remain in full force and effect, and to this end the provisions of this Charter amendment are severable. In addition, the voters declare that they would have passed all sections, subsections, clauses, sentences, phrases, portions, and applications of this Charter amendment without the section, subsection, clause, sentence, phrase, portion, or application held unconstitutional or invalid.